

Austin Cost of Living 2026: What It Actually Costs to Live Here

Texas has no state income tax — but living in Austin is not cheap. A clear-eyed breakdown of what housing, utilities, food, transportation, and property taxes actually cost for households moving to or living in Austin in 2026.

Austin's cost of living is one of the most-searched questions by anyone considering a move here — and one of the most misunderstood.

The short answer: Austin is meaningfully less expensive than San Francisco, Seattle, and New York. It is more expensive than most other Texas cities and can surprise people who arrived expecting broad affordability.

The Texas Trade-Off: Income Tax vs. Property Tax

Texas has no state income tax. For high earners relocating from California (13.3% top rate) or New York (up to 10.9%), that difference represents \$15,000 to \$60,000 in annual savings depending on income.

The trade-off is property taxes. Texas property taxes rank among the highest effective rates in the country. Most Austin homeowners in Travis County pay 1.8% to 2.4% of assessed value annually. On a \$600,000 home, that is \$10,800 to \$14,400 per year.

For most professional households relocating from high-income-tax states, the math strongly favors Texas overall. But no state income tax does not mean Austin is inexpensive — it means Austin is taxed differently.

What Housing Actually Costs in Austin in 2026

The median sale price in Austin proper in 2026 is approximately \$525,000. Central neighborhoods like Barton Hills and Zilker carry medians above \$850,000. Outer communities in Pflugerville and Buda

offer homes in the \$340,000 to \$450,000 range.

At a 6.5% fixed rate and 20% down on a \$525,000 home, principal and interest runs \$2,650/month. Add property taxes (\$900-\$1,200/month), insurance (\$150-\$250/month), and maintenance reserves, and the all-in monthly cost is \$4,000 to \$4,500.

Renting vs. Buying in Austin in 2026

One-bedroom apartments in Austin average \$1,600 to \$1,900 per month in 2026 — down from over \$2,200 at peak. Two-bedroom apartments in desirable corridors run \$2,200 to \$2,800 per month.

Austin Utilities: Budget Meaningfully for Summer

Summer electricity bills in Austin are genuinely high. A 2,000-square-foot home should budget \$200 to \$350 per month for electricity from May through September. Annual electricity costs average \$2,000 to \$3,000.

Combined monthly utilities (electricity, gas, water, internet): \$350 to \$550 in moderate months, \$500 to \$700 in summer.

Food, Dining, and Groceries in Austin

A sit-down dinner for two at a mid-range Austin restaurant runs \$65 to \$100. HEB is Austin's beloved and competitive full-service grocer. A household of two can expect to spend \$650 to \$900 per month on groceries.

Transportation: Austin Runs on Cars

A household driving 15,000 miles annually spends \$2,000 to \$2,500 per year on fuel. Total vehicle operating costs including insurance and maintenance average \$6,000 to \$9,000 per vehicle per year. Two-car households should budget \$12,000 to \$18,000 annually.

How Austin Compares to Other Major Cities

Austin housing costs 40-60% less than comparable San Francisco Bay Area housing. No state income tax saves California-level earners \$20,000 to \$60,000 per year. Compared to Dallas or Houston, Austin is more expensive — the city's reputation and tech-sector employer base command a premium.

The Bottom Line on Austin's Cost of Living

Austin is expensive for Texas and a competitive value relative to coastal metros. The households who benefit most are high earners relocating from states with significant income taxes. For those relocating from lower-cost markets, the property taxes, housing prices, utilities, and car dependence are real and should be modeled honestly before committing to a purchase.

Frequently Asked Questions

Q: What is the cost of living in Austin, Texas in 2026?

Austin's cost of living is above the national average but significantly below San Francisco, New York, and Seattle. Key costs: median home price around \$525,000, average rent for a one-bedroom at \$1,600-\$1,900/month, property taxes of 1.8-2.4% of assessed value annually, and high summer electricity bills (\$200-\$350/month). Texas has no state income tax, which significantly benefits high earners relocating from California, New York, or other income-tax states.

Q: How much money do you need to live comfortably in Austin?

A single professional needs approximately \$75,000 to \$90,000 in annual gross income to live comfortably in Austin — renting a one-bedroom, owning a car, and participating in the city's restaurant and entertainment culture. A family purchasing a home in a mid-range neighborhood needs household income of \$140,000 to \$180,000 to manage all-in homeownership costs, transportation, and everyday expenses comfortably.

Q: Is Austin more affordable than San Francisco or New York?

Yes — significantly. Austin housing costs 40-60% less than comparable Bay Area housing, and no state income tax saves high earners \$20,000 to \$60,000 per year compared to California's 13.3% top rate. Compared to New York City, Austin housing is dramatically less expensive and lifestyle costs are broadly lower. The main offsets are Austin's high property taxes and car-dependent transportation costs.

Q: What are average utility costs in Austin, Texas?

Austin utilities are moderate most of the year but high in summer. Electricity costs \$200 to \$350 per month from May through September. Spring and fall bills drop to \$80 to \$130. Water runs \$60 to \$100/month; natural gas averages \$50 to \$80 in winter; internet is \$60 to \$90. Total monthly utilities: \$350 to \$550 in moderate months, \$500 to \$700 in summer.

Q: How much does it cost to rent an apartment in Austin in 2026?

A one-bedroom apartment in Austin averages \$1,600 to \$1,900 per month in 2026. Two-bedroom apartments in desirable areas run \$2,200 to \$2,800 per month. Neighborhoods farther from the urban core offer lower rents, typically \$1,200 to \$1,600 for a one-bedroom.

Written by Laurel Seymour · Austin Realtor · TX License #617201 · Seymour Realty Group · seymourrealtygroup.com